

CIMA STRATEGIC CASE STUDY

MOCK EXAM 2

FEBRUARY 2025 CLASS

DEBRIEFING NOTES



Task One

Sub task 1 (a):

E: Recommend and maintain a sound control environment (12 marks)		35%
E1: Apply internal audit resources		
Could you recommend tests that Rotomyne's Internal Audit department might use to check that staff are complying with those controls?		12 marks
	No rewardable material	0
Level 1	States only a few tests Internal Audit can implement. No or little application.	1-4
Level 2	Explains several tests Internal Audit can implement but no or little justification. Some application to scenario and use of pre-seen.	5-8
Level 3	Identify, explain and justify several tests Internal Audit can implement. Good application to scenario and use of pre-seen.	9-12

Sub task 1 (b):

D. Evaluate and mitigate risk (9 marks)		30%
D4: Recommend internal controls		
Could you evaluate the argument that any staff member who is found by our Internal Audit department to have been in breach of controls should be disciplined?		9 marks
	No rewardable material	0
Level 1	States arguments for and against disciplining staff. No or little application.	1-3
Level 2	Explains arguments for and against disciplining staff. Some application to scenario.	4-6
Level 3	Discusses arguments for and against disciplining staff. Applies to scenario well using specific and relevant evidence.	7-9

Sub task 1 (c):

E. Recommend and maintain a sound control environment (12 marks)		
E3: Recommend responses to the threats arising from poor governance		35%
Could you recommend responses to the threats arising from poor governance that may have contributed to the security breach?		12 marks
	No rewardable material	0
Level 1	States only a few actions to address poor governance. No or little application.	1-4
Level 2	Explains several actions to address poor governance with no or little justification. Some application to scenario and use of pre-seen.	5-8
Level 3	Discuss specific actions to address the poor governance and justify with clear reasons. Good application to scenario and use of pre-seen.	9-12

Task Two

Sub task 2 (a):

E. Recommend and maintain a sound control environment (20 marks)		60%
E3: Recommend responses to the threats arising from poor governance		
Could you discuss the JV's corporate governance requirements in regard to NEDs, and how to fulfil such requirements?		10 marks
	No rewardable material	0
Level 1	Little discussion of corporate governance requirements relating to NEDs and how the requirements are fulfilled.	1-3
Level 2	Some discussion of corporate governance requirements relating to NEDs and how the requirements are fulfilled. References pre-seen structure to a fair level. Some application to the scenario.	4-7
Level 3	Good discussion of corporate governance requirements relating to NEDs and how the requirements are fulfilled. References pre-seen structure to a good level. Good application to the scenario.	8-10
Could you discuss the JV's corporate governance requirements in regard to committees and how to fulfil such requirements?		10 marks
	No rewardable material	0
Level 1	Little discussion of corporate governance requirements relating to committees and how the requirements are fulfilled.	1-3
Level 2	Some discussion of corporate governance requirements relating to committees and how the requirements are fulfilled. References pre-seen structure to a fair level. Some application to the scenario.	4-7
Level 3	Good discussion of corporate governance requirements relating to committees and how the requirements are fulfilled. References pre-seen structure to a good level. Good application to the scenario.	8-10

Sub task 2 (b):

B. Evaluate the business ecosystem and business environment (7 marks)		20%
B5: Recommend responses to economic, political and currency risks		
Could you discuss ways a local company JV would help manage political risks?		7 marks
	No rewardable material	0
Level 1	Lists a few (1 to 2) ways the JV can manage political risks.	1-2
Level 2	Discusses several ways the JV can manage political risks and relates to the scenario.	3-4
Level 3	Discusses several ways the JV can manage political risks, relates to the scenario, and references the pre-seen.	5-7

Sub task 2 (c):

A. Develop business strategy (7 marks)		20%
A2: Recommend strategic decisions (digital and otherwise)		
Could you evaluate the need for sustainability training, along with a clear recommendation?		7 marks
	No rewardable material	0
Level 1	States 1 to 2 pros and cons. Recommends whether to train staff. No or little justification.	1-2
Level 2	Evaluates several pros and cons and references figures. Recommends whether to train staff based on appropriateness to the scenario. Justifies in terms of why recommendation is chosen.	3-4
Level 3	Discusses several pros and cons, references figures, and mentions CSR. Recommends whether to train staff based on appropriateness to the scenario and pre-seen. Justifies in terms of why recommendation is chosen. Supports with pre-seen.	5-7

Task Three

Sub task 3 (a):

C. Recommend financing strategies (17 marks)		50%
C1: Recommend suitable sources of finance		
Could you explain the Free Cash Flow method of business valuation?		6 marks
	No rewardable material	0
Level 1	Lists a few features of FCF method.	1-2
Level 2	Explains FCF method but no relevance to scenario.	3-4
Level 3	Explains FCF method and relates to scenario appropriately.	5-6
Could you explain the advantages and disadvantages of using Free Cash Flow method of business valuation?		11 marks
	No rewardable material	0
Level 1	Identifies or lists advantages and disadvantages of FCF method.	1-4
Level 2	Explains advantages and disadvantages of FCF method but no application.	5-8
Level 3	Explains in detail advantages and disadvantages of FCF method and uses scenario and pre-seen material appropriately to demonstrate application.	9-11

Sub task 3 (b):

B. Evaluate business ecosystem and business environment (10 marks)		30%
B2: Conduct an analysis of stakeholder needs and recommend appropriate responses		
Could you describe activities Rotomyne should undertake to manage the most powerful stakeholders during the acquisition process to maximise their support and agreement?		10 marks
	No rewardable material	0
Level 1	Identifies stakeholders. No or little explanation of actions to manage them during the acquisition process.	1-3
Level 2	Identifies stakeholders. Explanation of actions to manage them during the acquisition process. No or little reference to scenario.	4-7
Level 3	Identifies stakeholders. Good explanation of actions to manage them during the acquisition process. Good reference to scenario material.	8-10

Sub task 3 (c):

B. Evaluate business ecosystem and business environment (6 marks)		20%
B3: Recommend appropriate responses to changes in the business ecosystem		
Could you explain how the acquisition should be reported in Rotomyne’s annual Integrated Report?		6 marks
	No rewardable material	0
Level 1	Provides low understanding of IR.	1-2
Level 2	Provides good understanding of use of IR in acquisition. No or little use of scenario material.	3-4
Level 3	Provides a good understanding of use of IR in acquisition. Provides specific and relevant evidence from the scenario to demonstrate application skills.	5-6